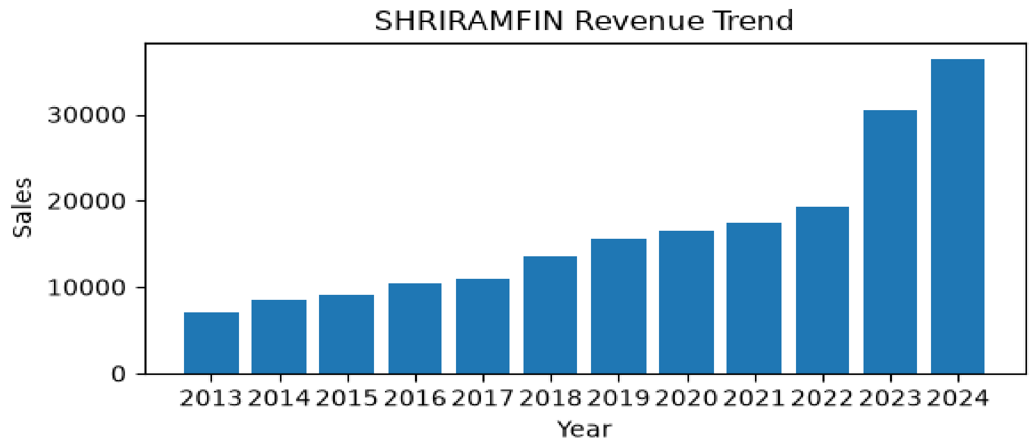
Shriram Finance Ltd

Ticker: SHRIRAMFIN
Sector: Financials

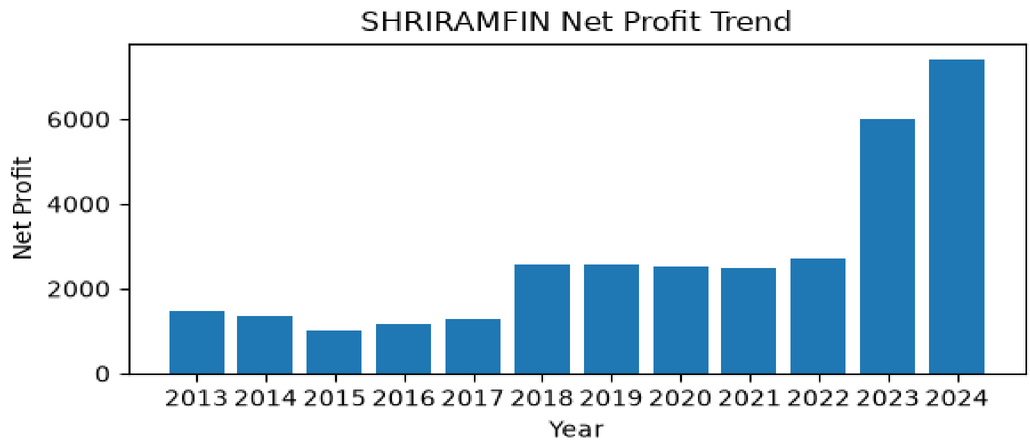
Key Metrics

ROE: 15.12%
ROCE: 4.30%
NPM: 20.33%
Debt/Equity: 3.99
FCF: ■-31,359 Cr
Revenue CAGR: 18.56%

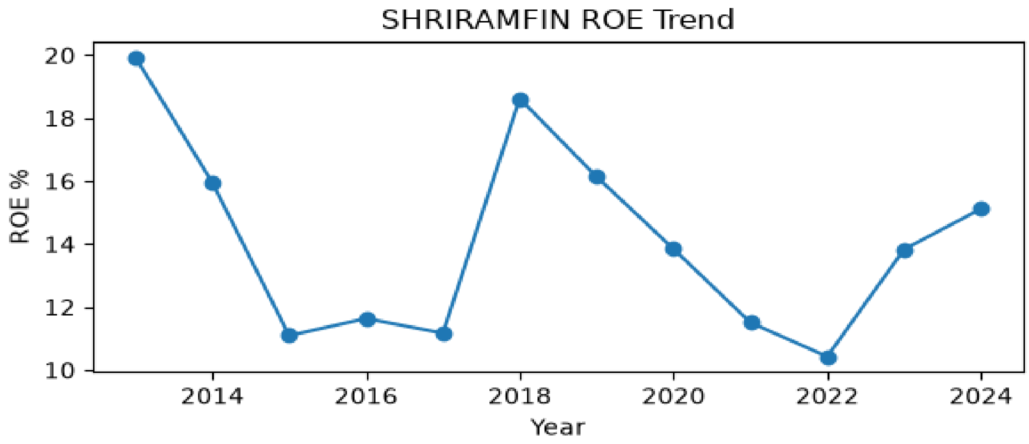
Revenue Trend



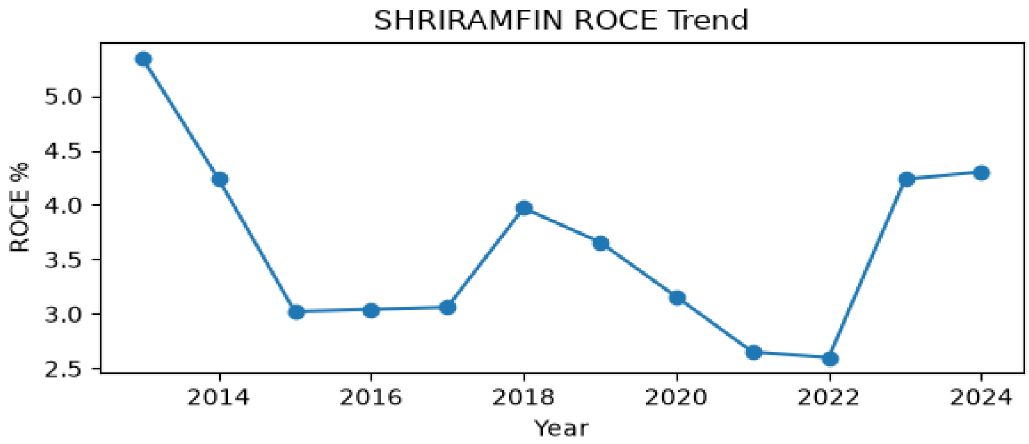
Net Profit Trend



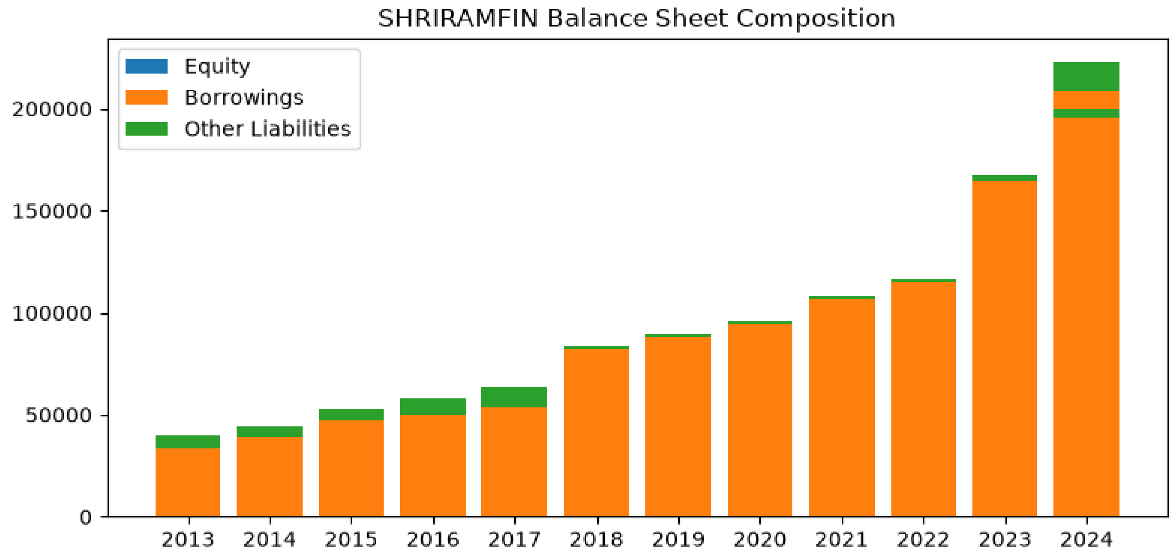
ROE Trend


SHRIRAMFIN ROE Trend
ROE %
20
18
16
14
12
10
2014
2016
2018
2020
2022
2024
Year

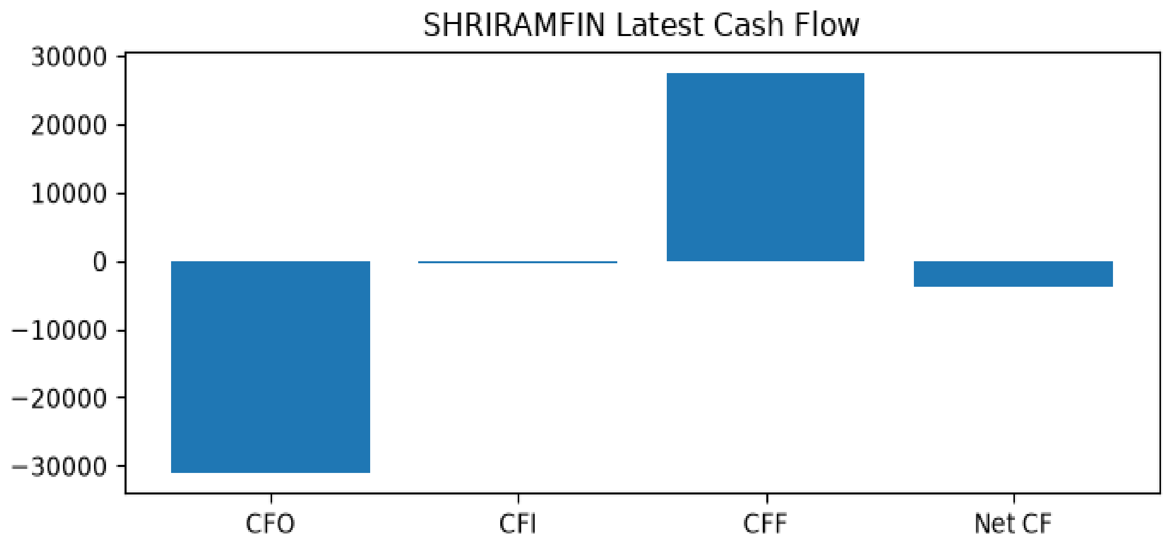
ROCE Trend


SHRIRAMFIN ROCE Trend
ROCE %
5.0
4.5
4.0
3.5
3.0
2.5
2014
2016
2018
2020
2022
2024
Year

Balance Sheet Composition



Cash Flow Summary



Pros

• Revenue growing at above 15% CAGR over 5 years reflects strong business momentum

• Operating profit margin above 25% indicates strong pricing power and cost discipline

• Net profit compounding at above 20% over 5 years creates significant shareholder value

• Return on equity improving for 3 consecutive years

• Revenue growing slower than profits shows improving operating leverage

Cons

• Debt-to-equity ratio of 3.99 is elevated and warrants monitoring

- Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- Interest coverage ratio below 1.5x indicates debt servicing risk
- ROCE below 10% suggests weak capital efficiency